Escalation risk will keep prices elevated

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Oil prices will remain elevated as the risk of Middle East escalation grows. Brent crude rose to $117 per barrel last week as mounting evidence sugges

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Brent crude prices have risen above $110 per barrel, in line with Eurasia Group’s expectations.
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While Middle East and North Africa flows have returned to prewar levels, sustaining those levels will remain a challenge due to ongoing Iranian attacks, while the higher volume is unlikely to lower prices soon.
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Russia is sending its first diesel cargo to the US since 2022, but the shipment is unlikely to ease price pressure in the US, where diesel remains above $6 per gallon ahead of next week’s midterm elections.

Oil prices will remain elevated as the risk of Middle East escalation grows. Brent crude rose to $117 per barrel last week as mounting evidence suggests the US is likely to attack Iran following the 3 November midterm elections, possibly with Israeli assistance. This aligns with Eurasia Group’s expectations (see: Prices likely to rise above $110 amid expected November escalation , 19 October 2026), with Brent likely to trade in a $110-$125 per barrel range. Prices will fall if the risk of escalation recedes, although a deal or off-ramp appears unlikely despite ongoing regional diplomacy.

Middle East flows spike to prewar levels, though sustaining them remains a challenge. Regional exports have increased markedly, but ongoing Iranian attacks will likely make it difficult to sustain prewar export levels. Regional output will likely remain elevated (see: High prices persist despite Hormuz progress , 5 October 2026), although continued violence, high shipping costs, doubts that regional flows can be sustained, worries about likely escalation, and recovering Chinese imports see: Prices likely to rise above $110 amid expected November escalation , 19 October 2026) are all keeping prices elevated, despite the increase in flows.

Iran’s oil exports have finally fallen to zero. Iran has not exported oil since July, and by the end of October, its volume of oil “on the water”—meaning cargoes awaiting delivery—will be exhausted apart from tankers trapped in the Persian Gulf by the US blockade. In addition, open-source reports from OPEC and the International Energy Agency indicate that Iran’s oil production has fallen from 3.3 million barrels per day (bpd) to just under 2 million bpd, roughly enough to meet domestic demand.

Absent any change in the US posture, it is unlikely Iran will resume exports soon. That outlook suggests the country's economic and financial woes will worsen. Iran depends on oil revenue to cover its non-oil trade deficit and roughly one-third of its government budget.

First Russian diesel shipment to the US will do little to ease fuel price pressure. A diesel cargo left the Russian port of Primorsk for the US, the first direct import since 2022. Even if additional cargoes follow, continued Ukrainian attacks will likely keep Russian diesel exports suppressed because they have inflicted considerable damage on Russia's refining infrastructure. These imports are also unlikely to ease price pressure inside the US, where the national average diesel price remains above $6 per gallon ahead of next week's midterm elections.

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